

Meetings & Proceedings

Meetings & Proceedings

Lite — Quick Review (1h-1d)

Rapid summary for last-minute revision before your exam.

Meetings and Proceedings under the Companies Act, 2013 is the framework that governs how a company convenes, conducts, votes in, and records its meetings. The Act distinguishes General Meetings (AGM and EGM) from Board Meetings, and it tightly regulates notice, quorum, resolutions, and minutes. For CS Executive, expect 1-2 short-answer or MCQ items per paper testing notice validity, quorum math, or resolution type.

Key Term Statutory Hook One-line Meaning

AGM Section 96 Mandatory yearly meeting of members

EGM Section 100 Any general meeting other than the AGM

Quorum Section 103 Minimum members personally present to validly transact business

Special Resolution Section 114 Needs 3/4th majority of votes cast

Ordinary Resolution Section 114 Needs simple majority (>50%)

Minutes Book Section 118 Statutory record of proceedings, kept at registered office

Postal Ballot Section 110 Voting by letter or electronic means without a physical meeting

High-Yield Memory Hook: "Q-P-N-M-R" — Quorum Proxy Notice (21 clear days) Minutes (registered office) Resolution (3/4th = Special, simple = Ordinary).

- AGM due dates: first AGM within 9 months of closing of first FY; subsequent AGMs not more than 15 months apart (Section 96(1)).
- Filing of resolutions/agreements with the ROC: 30 days from passing under Section 117.
- Maximum gap between two Board Meetings: 120 days; minimum 4 meetings per year (Section 173).

Standard — Regular Study (2d-2mo)

Standard content for students with a few days to months.

Types of Meetings and Their Statutory Basis

The Act recognises five meeting categories. Board Meetings are regulated by Section 173 plus the Companies (Meetings of Board and its Powers) Rules, 2014, while General Meetings (AGM and EGM) follow Sections 96-109. Class Meetings arise whenever members of a particular class (e.g., preference shareholders) must consent separately to a variation of their rights under Section 48. Secretarial Standards SS-1 (General Meetings) and SS-2 (Board Meetings), issued by the ICSI, supplement the Act and are examinable as best-practice obligations.

Notice, Agenda, and "Clear Days"

Section 101(1) requires 21 clear days' notice for every general meeting. "Clear days" excludes both the day on which notice is dispatched/served and the day of the meeting. Sending notice 22 calendar days before may still be defective if counting leaves only 20 clear days. Shorter notice is valid only with written consent of members holding 95% in value of shares carrying voting rights (Section 101(1) proviso). The notice must state day, date, time, place, and business to be transacted; any item classified as special business must carry an Explanatory Statement under Section 102.

Quorum — the Most-tested Calculation

Quorum varies by company type. Many students apply the AGM rule to every meeting — an instant paper-killer. Use the matrix below:

Company / Meeting Type	Quorum Requirement	Source
Public Co. — AGM	5 members OR 15% of total members entitled to vote, whichever is lower	Sec 103(1)(a)(i)
Public Co. — EGM / Other GM	5 members OR 1/15th of entitled members, OR 2/3rd of total members of the company, whichever is lower	Sec 103(1)(a)(ii)
Private Co.	2 members personally present	Sec 103(1)(b)

If quorum is not present within half an hour, the meeting stands adjourned; only the unfinished business is transacted at the adjourned meeting.

Resolutions — Ordinary vs Special

An Ordinary Resolution requires votes in favour exceeding votes against (simple majority). A Special Resolution needs at least 3/4th of the votes cast in favour. Items mandating a Special Resolution include alteration of the Articles of Association (Section 14), change of registered office within the same city (Section 12(5)), issue of sweat equity (Section 54), and reduction of share capital (Section 66). Resolutions requiring Special Notice (Section 115) — for example, removal of an auditor or a director — must be preceded by 14 days' notice to the company.

Voting Mechanisms and Chairman's Role

Voting happens by show of hands first; a poll may be demanded by the chairman, by members present, or by any member holding prescribed thresholds (Section 109). E-voting under Section 108 is mandatory for listed companies. Postal Ballot under Section 110 is a separate, item-specific procedure — the two are not interchangeable. The chairman regulates proceedings, maintains decorum, and has a casting vote in case of an equality of votes (unless the Articles provide otherwise).

Minutes, Inspection, and Penalties

Minutes must be prepared, signed by the chairman, and entered in the Minutes Book kept at the registered office (Section 118). Members may inspect free of charge for 2 business hours per day; the Minutes are prima facie evidence of the proceedings (Section 118(8) and Section 118(13)). Resolutions and agreements must be filed with the ROC within 30 days (Section 117). Defaulting officers are liable to fines up to prescribed statutory ceilings.

Exam-Level Worked Problem

Question: Zigma Public Limited has 800 members entitled to vote as on the AGM date. Calculate the quorum required for (a) its AGM and (b) an EGM called to approve a Special Resolution. Two members are present personally at the scheduled AGM start time. Advise.

Solution:

- (a) AGM quorum under Section 103(1)(a)(i): take the lower of 5 members and 15% of 800 = 120 members quorum = 5 members.
- (b) EGM quorum under Section 103(1)(a)(ii): lower of 5 members, 1/15th of 800 = 53.33 → 54 members (fraction rounded up), and 2/3rd of 800 = 533.33 → 534 members. The lowest is 54 members.

members.

- With only 2 members present, quorum is not met. Under Section 103(2), the meeting is adjourned; the adjourned meeting will transact only the unfinished business.

Examiner Trap: Candidates often quote 15% for every public-company meeting. The EGM rule is 1/15th OR 2/3rd, whichever is lower — different math, different result, even if the headcount is the same.

Extended — Deep Study (3mo+)

Comprehensive coverage for students on a longer study timeline.

Edge Cases and Advanced Traps

Trap / Edge Case Correct Position

Adjourned meeting on same day, new venue Valid if originally called with proper notice; no fresh 21-day notice needed

Quorum lost during a meeting Meeting proceeds; quorum is tested only at commencement

Proxy at an AGM Can attend and vote; cannot speak unless Articles permit

Director's relative on the Board May vote; only interested contracts under Section 184 trigger disclosure and non-voting

VC/OAVM for general meetings Permitted; deemed attendance counts for quorum

Small Company / One Person Company Only 2 Board meetings per year permitted (Section 173(1) proviso)

First AGM of newly incorporated company 9 months from close of first FY, not 18 months as students often guess

SS-1, SS-2 and Evidentiary Value

ICSI's Secretarial Standard SS-1 prescribes that minutes record the text of resolutions, the summary of discussions, and the names of dissenters. SS-2 requires the Board Minutes to record items like the appointment of the Chairman, leave of absence, and disclosure of interest. While the Standards are recommendatory in legal status, ICSI module tests and CS Executive papers treat them as must-know. Section 118(13) gives Minutes prima facie evidentiary value in legal proceedings; uncertified extracts are inadmissible.

Filing, Penalties, and ROC Compliance

Section 117 read with Rule 24 of the Companies (Management & Administration) Rules, 2014 mandates filing of Special Resolutions, ordinary resolutions on certain items, and agreements to the Registrar within 30 days. Late filing attracts additional fees and penalties on every defaulting officer. A defective filing does not invalidate the underlying resolution but is an independent compliance failure — an examiner favourite for assertion-reason items.

Practice Prompts

A director forwards the AGM notice by WhatsApp and email four days before the meeting. The Articles prescribe a longer notice. Test the validity of the meeting and the resolutions passed there. A Special Resolution is passed in an EGM with 1,000 votes cast: 700 in favour, 300 against. Comment on whether the resolution threshold is met and the consequences if the resolution is not filed with the ROC within 30 days.

Continue your study

- View this topic in your CS Executive roadmap — see where "Meetings & Proceedings" fits in your personalised plan
- Build a quick revision plan — 1-day sprint covering highest-weight topics
- CS Executive exam overview — pattern, eligibility, and syllabus
- All Company Law notes — browse sibling topics in this subject

Content adapted based on your selected roadmap duration. Switch tiers using the selector above.